H8 | *fx* | =Tests!J5

Rows 1 and 2: Requirement 8: Evaluating the deficiencies. Exposure against the materiality cells of Requirement 3; frequencies and exposures are live (T…

Materiality	225,180.56	=Materiality	
Performance materiality	168,885.42	=PerformanceMateriality	
Clearly trivial	11,259.03	=ClearlyTrivial	

ID	Pattern	Control point	Design or oper…	Exposure, 2026	2026 exposure against materiality	Compensating controls and the evi…	Classification
D1	Credits approved above the approver'…	C2	Design, provisio…	172,307.40	Above performance materiality, below…	Every credit traces to a return received in t…	Significant deficiency (combined with D2),…
D2	Customer service records receipts, ap…	C4	Design, provisio…	68,514.82	Above clearly trivial, below performance…	The warehouse receipt behind every…	Significant deficiency (combined with D1),…
D3	Refunds approved above the approver'…	C6	Design, provisio…	56,131.84	Above clearly trivial, below performance…	Each refund equals its credit's 2060 part; the…	Significant deficiency (combined with D4 a…
D4	Refunds dated before the last application…	C7	Design, provisio…	24,893.21	Above clearly trivial, below performance…	Later applications are recorded (1 to 19 day…	Significant deficiency (combined with D3 a…
D5	No offset of past-due balances before a r…	C8	Not establis…	52,039.44	Above clearly trivial, below performance…	Collection of the past-due balances aft…	Follow up: any policy lies outside the recor…
D5	Refund method unlike every receipt…	C8	Not establis…	62,483.48	Above clearly trivial, below performance…	None in the records: no payee or account…	Follow up: any policy lies outside the recor…
D6	No preparer recorded on credits or refund…	C2, C6	Evidence gap, pe…	85,107.82	Above clearly trivial, below performance…	None in the records.	Evidence gap; combines with D3 a…
D7	The Accounting Manager's concentr…	C5, C6	Design, provisio…	28,975.98	Above clearly trivial, below performance…	The clawbacks are complete and accurat…	Deficiency (may combine entity-wide…
D8	Damaged goods restocked at standar…	C1	Not establis…	40,024.16	Above clearly trivial, below performance…	No write-down evidence was identifi…	Valuation follow-up

Row 17 is empty. The combined evaluation below is rows 18 to 28 of the same sheet, with other columns shown (the letters differ)

Combined evaluation (deficiencies on the same account or assertion, assessed together)

Group	Accounts and assertions	Deficiencies	Exposure, 2026	Potential magnitude, 2…	Potential against materiality	Classification
G1	Credit memos and receivabl…	D1, D2	197,278.32	260,457.72	At or above materiality	Significant deficiency
G2	Customer refunds and 2060…	D3, D4, D6	62,474.39	85,107.82	Above clearly trivial, bel…	Significant deficiency
G3	Commissions, refunds, and…	D7	28,975.98	85,107.82	Above clearly trivial, bel…	Deficiency
G4	Refunds: offset and payee	D5	62,483.48	85,107.82	Above clearly trivial, bel…	Follow up (no policy in t…
G5	Inventory: valuation of retur…	D8	61,146.00	138,128.82	Above clearly trivial, bel…	Valuation follow-up

Significant deficiencies	2
Material weaknesses	0
Overall	**No material weakness identified (provisional)**

Tests | Sample | Timeline | **Deficiencies** | Report

Outlined in teal: the three threshold cells, links to the named cells of the Materiality sheet (each formula beside it). In blue: each pattern's exposure for fiscal 2026, a link to the Tests sheet (the formula bar shows H8's), and the combined groups' exposure and potential magnitude; the groups count each document once (D1, D2: 197,278.32, not the 240,822.22 the two patterns add up to). In coral: the band, a formula that reads the exposure against the three thresholds. In amber: the classification. In teal, the counts that follow it. The sheet goes on to row 44 with the clean results and the model answer. Hidden columns differ by block, long texts are cut.